3.1.2 Sole traders, Ltd and plc

Unit 3.1 What is business? · 8 key points

- **Sole trader:** one owner, keeps all profit, full control, unlimited liability
- **Private limited company (Ltd):** separate legal identity, limited liability, shares sold privately
- **Public limited company (plc):** can sell shares to the public on a stock exchange
- **Unlimited liability:** owner is personally responsible for all business debts
- **Limited liability:** shareholders can lose only what they invested
- **Ordinary share capital:** money raised by selling shares; not repaid; gives votes and a right to dividends
- **Plc drawbacks:** risk of takeover, more regulation, pressure for short-term results, loss of control
- **Trap:** "public" limited company is in the private sector